STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Brooklyn Union Gas Company dba National Grid NY for Gas Service.	**CASE 23-G-0225**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. dba Brooklyn Union Gas L.I. for Gas Service.	**CASE 23-G-0226**

DIRECT TESTIMONY OF CHRISTOPHER REYES

ON BEHALF OF NRG ENERGY, INC. AND ITS AFFILIATES DOING BUSINESS AS ENERGY SERVICE COMPANIES IN NEW YORK STATE, INCLUDING RELIANT ENERGY NORTHEAST LLC D/B/A NRG HOME AND D/B/A NRG BUSINESS SOLUTIONS, GREEN MOUNTAIN ENERGY COMPANY, ENERGY PLUS HOLDINGS LLC, ENERGY PLUS NATURAL GAS LLC, INDEPENDENCE ENERGY GROUP LLC D/B/A CIRRO ENERGY, XOOM ENERGY NEW YORK, LLC, STREAM ENERGY NEW YORK, LLC, DIRECT ENERGY BUSINESS, LLC, DIRECT ENERGY BUSINESS MARKETING, LLC, DIRECT ENERGY SERVICES, LLC, AND GATEWAY ENERGY SERVICES COMPANY

Dated: September 1, 2023

INTRODUCTION

Q. PLEASE STATE YOUR NAME, TITLE AND BUSINESS AFFILIATION.

A. My name is Christopher Reyes and I am a Senior Manager, Retail Natural Gas Operations - New York, NRG Energy, Inc.

Q. PLEASE SUMMARIZE YOUR EDUCATIONAL BACKGROUND AND PROFESSIONAL EXPERIENCE.

A. In my current role, I am responsible for managing both the Retail Natural Gas Pricing and Scheduling Teams. I have worked in the Oil & Gas industry in positions of increasing responsibility since 1995. Immediately prior to my current position that I have been in since January 5, 2021 when NRG Energy completed the acquisition of Direct Energy from Centrica plc, I held the same title and fulfilled the same responsibilities with Direct Energy dating back to June 2017. Before that, I was Sr. Natural Gas Trader for Direct Energy from January 2014 until June 2017. My prior employer, was Hess Corporation where I worked for over 18 years in various positions, including Sr. Natural Gas Trader, Natural Gas Trader and Sr. Wholesale Natural Gas Scheduler. I received a Master of Business Administration from Webster University in Finance in 2001 and a Master of Arts, Business and Organizational Security Management, from Webster University in 2003.

ANALYSIS

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY IN THESE PROCEEDINGS?

A. My testimony addresses the Gas Demand Response programs implemented by KeySpan Energy Delivery of New York, Inc. (KEDNY) and KeySpan Energy Delivery Long Island (KEDLI, and collectively with KEDNY, National Grid).

Q. PLEASE DESCRIBE THOSE PROGRAMS.

A. As National Grid's Customer Panel explains in their pre-filed testimony, National Grid's Gas Demand Response programs provide a monetary incentive for commercial, industrial, and multifamily firm service gas customers either to reduce or shift their gas consumption for a pre-determined amount of time when requested. These programs benefit both National Grid and its customers by reducing the need for costly infrastructure upgrades and increasing gas system reliability.

Q. WHAT CONCERNS DOES NRG HAVE WITH THIS PROGRAM?

A. Unfortunately, when National Grid enrolls an eligible customer that is receiving gas service from NRG or another ESCO in its Demand Response program, National Grid does not inform the customer's ESCO of this fact. Similarly, when National Grid asks customers served by NRG or another ESCO to reduce or shift their demands, the ESCO(s) serving those customers similarly do not receive notice from National Grid.

Q. WHY IS THIS A CONCERN FOR NRG?

A. As an ESCO supplying natural gas to customers on National Grid's distribution systems, NRG formulates customer pricing based on estimated customer usage. When a customer enrolls in a National Grid Gas Demand Response program, it is likely that the customer will reduce its usage below the levels anticipated by NRG. The reduction in usage causes financial harm to NRG because NRG includes certain charges (such as mandatory asset related demand charges) in customer pricing on a per dekatherm basis. If a customer's

usage is reduced below anticipated levels by a Utility Initiated Demand Response Event, NRG will be unable to recover the actual cost of the asset-related demand charges that National Grid assigns to NRG. The Mandatory Capacity Program demand costs consist of Tier 1 - Pipeline Capacity Releases, Tier 2A - Physical Storage Releases, Tier 2B - Retail Access Storage & Tier 3 - Peaking Service.

Q. IS THIS THE ONLY RISK THAT NRG FACES AS A RESULT OF NATIONAL GRID'S GAS DEMAND RESPONSE PROGRAMS?

A. No. NRG is also at risk for higher than anticipated cash out volumes and dollars as the amount of natural gas that is delivered by NRG will no longer be consistent with the customer's anticipated usage due to the demand reduction. This adds additional monetary risk as the amount of the cash out will not match the estimated costs used to price out the customer.

Q. WHY CAN'T NRG JUST ASK ITS CUSTOMERS TO PROVIDE IT WITH NOTICE OF THEIR PARTICIPATION ON NATIONAL GRID'S DEMAND RESPONSE PROGRAMS.

A. We do try to do this, but often the person we deal with is not the person enrolling the customer in a Demand Response program. Also, because we do not know precisely when a customer elects to enroll or when National Grid requests that customers provide Demand Response Events, it is often difficult to obtain the needed information in time to guide NRG's gas procurement process.

Q. WHAT EXACTLY ARE YOU PROPOSING THAT NATIONAL GRID SHOULD BE REQUIRED TO DO?

A. National Grid's tariffs should be amended to include a separate rate class for customers participating in its Demand Response programs and to require such customers to specify the volumetric level at which they have selected to participate. A new rate class would enable NRG and other ESCOs to immediately identify existing customers who are participating in the program and to determine the volumetric level at which they have selected to participate. ESCOs would also be able to tell when additional customers switch to the program, as their rate class would change. That would enable ESCOs to better estimate and discuss appropriate changes with the customer.

In addition, National Grid's tariffs should also be revised to require National Grid to provide ESCOs with specific details about the Demand Response Events, specifically - what date and time period the event is called and the volume reduction at a customer level, as soon as practicable after the customer agrees to participate in such demand response events. This information will allow ESCOs to understand the usage impacts to our operating pools and give us a better view into our anticipated pool imbalances.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes it does.